

CANADA BREAD COMPANY, LIMITED

THIRD QUARTERLY REPORT

1997



CANADA BREAD COMPANY, LIMITED

REPORT TO SHAREHOLDERS:

We are pleased to report favourable third quarter results for 1997. Net earnings for the third quarter were $7.6 million ($0.36 per share) compared with $7.1 million ($0.33 per share) last year. Net earnings for the year to date of $20.8 million ($0.97 per share) compares to $15.9 million ($0.75 per share) last year. Included in the 1997 year-to-date earnings is a gain of $4 million after tax ($0.19 per share) on the sale of Brooklyn Bagel Boys, Inc. in the first quarter.

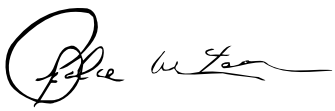
After adjusting for the effect of the sale of Brooklyn Bagel Boys, Inc., sales are comparable to last year. Sales for the quarter were $124 million compared to $136.2 million last year. Earnings from operations of $10.5 million represent an increase of 12% over last year after adjusting for the effect of the sale of Brooklyn Bagel Boys, Inc.

During the quarter, the Company commissioned a new bakery in Calgary, Alberta and commenced the move of its Venice Bakery operation to a new facility in Langley, B.C. to be completed by mid-1998. The $26 million Calgary facility, which will produce fresh and frozen bakery products, was successfully completed within budget and on schedule. These two new facilities will position the Company for profitable growth of its core product lines. Expenditures on these facilities and other facility improvements have resulted in an increase in capital expenditures from last year.

The Company declared a quarterly dividend of $0.06 per share, payable January 2, 1998, to shareholders of record on December 12, 1997.

For the Board of Directors,





David H. Lees
President and Chief Executive Officer

Archibald D. McLean
Chairman

CONSOLIDATED STATEMENTS OF EARNINGS

(In thousands of Canadian dollars, except per share amounts) (Unaudited)	12 WEEKS ENDED		36 WEEKS ENDED	
	September 6, 1997	September 7, 1996	September 6, 1997	September 7, 1996
Sales	**$124,006**	**$136,196**	**$357,573**	**$365,905**
Earnings from operations	**10,534**	**10,436**	**23,395**	**24,215**
Other income	1,565	1,324	3,467	2,937
Gain on sale of business	—	—	6,300	—
Earnings before interest and taxes	**12,099**	**11,760**	**33,162**	**27,152**
Interest expense	426	759	1,126	2,209
Earnings before income taxes	**11,673**	**11,001**	**32,036**	**24,943**
Income taxes	4,042	3,916	11,253	8,981
Earnings before minority interest	**7,631**	**7,085**	**20,783**	**15,962**
Minority interest	(7)	(9)	(19)	(22)
Net earnings for the period	**$7,624**	**$7,076**	**$20,764**	**$15,940**
Earnings per share	**$0.36**	**$0.33**	**$0.97**	**$0.75**
Dividends per share declared	**$0.06**	**$0.06**	**$0.18**	**$0.18**
Weighted average number of shares (millions)	**21.4**	**21.3**	**21.4**	**21.3**

CONSOLIDATED STATEMENTS OF CHANGES IN FINANCIAL POSITION

(In thousands of Canadian dollars) (Unaudited)	12 WEEKS ENDED		36 WEEKS ENDED	
	September 6, 1997	September 7, 1996	September 6, 1997	September 7, 1996
CASH PROVIDED BY (USED IN):				
OPERATING ACTIVITIES				
Net earnings for the period	$7,624	$7,076	$20,764	$15,940
Add (deduct) items not affecting cash:				
Depreciation	3,528	3,399	10,400	9,866
Amortization	535	549	1,604	1,607
Equity earnings from an associated company	(1,550)	(1,275)	(3,450)	(2,775)
Deferred income taxes	—	254	—	625
Minority interest	7	9	19	22
Gain on sale of business	—	—	(4,000)	—
Changes in non-cash working capital	(876)	225	(8,386)	(7,434)
	9,268	10,237	16,951	17,851
FINANCING ACTIVITIES				
Increase in share capital	288	—	809	—
Dividends paid	(1,283)	(1,280)	(3,845)	(3,841)
Dividends paid to minority interest	—	—	(14)	(30)
Increase in (repayment of) long-term debt	8,336	(364)	(6,111)	(140)
Repayment of debt to parent company	—	—	(3,531)	—
	7,341	(1,644)	(12,692)	(4,011)
INVESTING ACTIVITIES				
Additions to property and equipment, net	(16,429)	(3,674)	(35,891)	(9,719)
(Acquisitions) disposal of net assets of businesses	—	(197)	29,929	(11,825)
Dividends received from an associated company	—	—	2,000	2,000
	(16,429)	(3,871)	(3,962)	(19,544)
Net increase (decrease) in cash for the period	**180**	**4,722**	**297**	**(5,704)**
Bank indebtedness, beginning of period	(4,674)	(11,991)	(4,791)	(1,565)
Bank indebtedness, end of period	**($4,494)**	**($7,269)**	**($4,494)**	**($7,269)**

The September 7, 1996 consolidated Statement of Earnings and Statement of Changes in Financial Position have been reclassified to conform to the presentation of the September 6, 1997 consolidated Statement of Earnings and Statement of Changes in Financial Position.

CONSOLIDATED BALANCE SHEETS

(In thousands of Canadian dollars) (Unaudited)	As at September 6, 1997	As at September 7, 1996
ASSETS		
Current assets:		
Accounts receivable	$43,238	$51,918
Due from related company	4,473	2,607
Inventories	14,984	15,563
Prepaid expenses	5,452	4,346
	68,147	74,434
Investment in associated company	**43,918**	**40,643**
Property and equipment	**155,047**	**136,437**
Goodwill	**79,326**	**83,018**
	$346,438	**$334,532**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Bank indebtedness	$4,494	$7,269
Accounts payable and accrued charges	58,284	62,069
Income taxes payable	3,823	2,433
Current portion of long-term debt	194	175
	66,795	71,946
Long-term debt	**34,323**	**40,532**
Loan from Parent Company	**—**	**3,545**
Deferred income taxes	**20,766**	**19,638**
Minority interest	**87**	**148**
Shareholders' equity	**224,467**	**198,723**
	$346,438	**$334,532**